Skillsheet C | ECON 0100 | Fall 2026

Externalities

How to use this sheet

This sheet lists every assessed skill in Part C. Your grade is the percentage of skills you pass across the semester, so this sheet is the container for your studying: it tells you what each skill is, where we build it, what practice unlocks it, and the standard you must meet to pass it on Checkpoint C.

Each skill has three types of practice: the **Exercise** (done together in class), the **Vignette** (done together in recitation), and the **Homework** (done on your own time, due Sundays). Practice is graded for completion, not correctness. But you will get feedback on which Homework questions you got right and wrong.

- Complete **2 of 3** practices for a skill to unlock the skill on Checkpoint C.
- Complete **3 of 3** practices for a skill to unlock the Reattempt.

Skills you pass stay passed. If you do not pass a skill on Checkpoint C, complete all three practices and take the Reattempt.

Assessment scope. The standards below define the evidence required for each pass. Show calculation setups; minor arithmetic slips do not erase a correct method. Skills are judged separately. Deadweight loss is the one welfare measure you must calculate; consumer surplus, producer surplus, and government revenue or spending are not required.

The skills at a glance

Code	Skill	Practice
C1.1	Negative Externalities	Exercise C1 · Vignette C1 · HW C1
C1.2	Positive Externalities	Exercise C1 · Vignette C1 · HW C1
C2.1	Taxes & Incidence	Exercise C2 · Vignette C2 · HW C2

Code	Skill	Practice
C2.2	Subsidies	Exercise C2 · Vignette C2 · HW C2
C3.1	Corrective Taxes & Subsidies	Exercise C3 · Vignette C3 · HW C3

C1.1 | Negative Externalities

An external cost can make privately attractive trades socially costly.

Standard. You pass this skill if you can:

- Add a constant per-unit external cost to marginal private cost to construct marginal social cost.
- Calculate market and efficient quantities using private and social marginal conditions, and show why the market produces too much.
- Identify the deadweight-loss region on a graph, explain it using social marginal cost and benefit, and calculate its area.

C1.2 | Positive Externalities

An external benefit can make trades socially worthwhile even when private incentives do not support them.

Standard. You pass this skill if you can:

- Identify marginal social benefit above marginal private benefit when an activity generates a positive external benefit.
- On a supplied graph, identify market and efficient quantities and the deadweight-loss region, and explain why the market produces too little.
- Calculate the deadweight loss from the market's too-few trades.

C2.1 | Taxes & Incidence

A per-unit tax separates the price buyers pay from the price sellers receive.

Standard. You pass this skill if you can:

- Use the tax wedge (buyer price minus seller price equals the tax) and linear demand and supply to calculate the traded quantity and both prices.
- Compare both prices with the untaxed equilibrium price to calculate the tax burden per unit on each side and identify which side bears more.
- In a market without externalities, calculate the deadweight loss of the tax from the trades it prevents.

C2.2 | Subsidies

A per-unit subsidy reverses the wedge between buyers and sellers.

Standard. You pass this skill if you can:

- Use the subsidy wedge (seller price minus buyer price equals the subsidy) to calculate the traded quantity and both prices from linear demand and supply.
- In a market without externalities, explain why the added trades beyond the efficient quantity have marginal cost above marginal benefit, and calculate the deadweight loss they create.

C3.1 | Corrective Taxes & Subsidies

A corrective policy aligns private incentives with social costs or benefits.

Standard. You pass this skill if you can:

- Choose a corrective tax for a negative externality or a corrective subsidy for a positive externality, and set its size equal to the constant per-unit external cost or benefit.
- Explain how the policy moves quantity toward the efficient level, and calculate the deadweight loss that remains under a given policy (zero when the policy equals the external cost or benefit). Separate calculations of policy prices and government revenue or spending are not required.